2 MARKS

Q1.

Human Resource Management (HRM) is the process of managing the people who work in an organisation — recruiting, training, paying, developing and looking after employees so that the goals of the organisation are achieved. In short, it manages the human side of a business.

Q2.

1. **High employee attrition (job-hopping):** In India, especially in IT and BPO sectors, employees often leave quickly for higher pay, making it hard to retain trained staff.
2. **Work-life balance and managing diversity:** Long working hours and a workforce of many languages, religions and regions make it hard to keep everyone satisfied and treated fairly.

Q3.

Job analysis is the process of studying and collecting full information about a particular job. It covers the duties and responsibilities of the job and the skills, knowledge and qualities a person needs to perform it well.

Q4.

Recruitment is the process of finding and attracting suitable people to apply for the vacant jobs in an organisation. It creates a pool of candidates from which the right person can later be selected.

Q5.

Training is the process of teaching employees the skills and knowledge needed to do their present job better. It improves the quality of work, raises productivity and makes the workplace safer.

Q6.

Job evaluation is the process of finding out the relative worth or value of each job in an organisation. It compares jobs with one another to fix fair pay, measuring the job in terms of money.

Q7.

Performance appraisal is the regular and systematic evaluation of how well an employee performs his job against the set standards. Its results are used for decisions about promotion, pay rise, transfer and training.

Q8.

Employee welfare means the extra services, facilities and benefits provided to employees to improve their working life and well-being, such as canteen, medical care, housing and safety. These measures keep workers healthy and more productive.

Q9.

Industrial relations means the relationship between employers, employees, trade unions and the government at the workplace. Good industrial relations means peace and cooperation, with fewer disputes between management and workers.

Q10.

Human Resource Planning (HRP) is the process of forecasting the right number and right kind of employees the organisation will need in future, and planning to meet those needs. It ensures that enough skilled people are available at the right time and place.

Q11.

1. **To get and keep the right people:** HRM aims to recruit, select and retain the skilled employees that the organisation needs.
2. **To develop and motivate employees:** HRM aims to improve employees' skills through training and keep them satisfied and motivated.

Q12.

Basis	HRM	Personnel Management
View of employee	Treats people as valuable assets and resources of the organisation	Treats people mainly as labour, a factor of production and a cost
Approach	Modern, strategic and proactive; people are linked to business goals	Traditional, routine and reactive; mainly record-keeping and rule-following

Q13.

1. **Naukri.com:** A popular Indian job portal where companies post vacancies and job seekers upload their resumes.
2. **LinkedIn / Monster.com:** Well-known global job sites used to advertise vacancies and find suitable candidates online.

Q14.

Transfer is the shifting of an employee from one job to another job of roughly the same level, without much change in pay, status or responsibility. It is used to fill vacancies, to use an employee's skills better, or to meet his personal needs.

Q15.

Promotion is the upward movement of an employee to a higher post that carries higher pay, status, responsibility and benefits. It is given as a reward for good performance, ability and loyalty.

Q16.

Personnel management is the traditional part of management that deals with recruiting, hiring, training, paying and looking after the employees of an organisation. It is mainly a routine, administrative function that treats employees as workers and focuses on day-to-day staffing duties.

Q17.

Human Resource Development (HRD) is the process of improving the skills, knowledge, abilities and attitudes of employees through training, education and development. Its aim is to develop the full potential of employees so that they perform better and grow along with the organisation.

5 MARKS

Q1.

1. **Policy maker / Administrative expert:** The HR manager helps top management to frame important HR policies such as those relating to hiring, promotion, pay and leave.
2. **Advisor / Counsellor:** He advises line managers and departments on matters like grievances, conflicts, discipline and selection of staff.
3. **Recruiter:** Using his knowledge and experience, the HR manager finds and recruits the right people with the skills the organisation needs.
4. **Trainer, developer and motivator:** He identifies the skill gaps in employees and arranges suitable training and development programmes for them.
5. **Mediator / Linking pin:** The HR manager acts as a bridge between the management and the workers and also between different departments.

Q2.

1. **Application form and screening:** After recruitment, interested candidates fill an application form giving their personal, educational and work details.
2. **Employment tests:** Given different tests such as aptitude, intelligence, personality and trade tests.
3. **Interview:** In this stage the candidate meets the interviewer or a panel face to face.
4. **Medical examination and reference check:** Medically examined to make sure he is physically and mentally fit for the job.
5. **Appointment and placement:** Given an appointment letter stating his post, pay and other terms of service.

Q3.

1. **Improves quality of work:** Proper training teaches employees the correct methods and skills required for their work.
2. **Increases productivity:** A trained worker knows his job well and can complete it faster and more accurately.
3. **Improves health and safety:** Training teaches employees the safe way of handling machines, tools and materials.
4. **Reduces wastage and supervision:** Skilled employees use resources carefully and make fewer errors, so the wastage of material is reduced.
5. **Helps future growth and career:** Training prepares employees to take up higher and more responsible jobs in the future.

Q4.

1. **Higher productivity:** Given good welfare facilities, they remain healthy and happy and feel cared for by the company.
2. **Better employee health:** Facilities like canteen, clean drinking water, medical care and first aid keep employees physically fit and healthy.
3. **Lower absenteeism and labour turnover:** Welfare measures make employees feel that the company values them and looks after their needs.
4. **Good industrial relations:** Welfare creates goodwill and a feeling of trust between the workers and the management.
5. **Better company image and motivation:** Known for taking good care of its employees earns a good name in the job market.

Q5.

1. **Aptitude test:** This test measures a person's natural ability or talent to learn and do a particular kind of work, such as numerical, mechanical or reasoning ability.
2. **Achievement / trade test:** This test checks the knowledge and skill that the candidate already possesses in his trade or field.
3. **Intelligence test:** This test measures the candidate's mental ability, including his memory, reasoning power, understanding and speed of learning.
4. **Personality test:** This test studies the candidate's nature, attitude, emotions, temperament and behaviour.
5. **Interest test:** This test finds out the kind of work and activities that the candidate likes or dislikes.

Q6.

1. **Time rate system:** Paid according to the time they spend at work, such as per hour, per day or per month, and not according to how much they produce.
2. **Piece rate system:** Paid on the basis of the number of units or pieces they produce.
3. **Incentive / bonus system:** Given an extra payment, called bonus or incentive, for producing more than a fixed standard or target.
4. **Balance or debt method:** A combination of the time rate and piece rate systems.
5. **Profit-sharing:** Under this method the workers are given a fixed share of the company's profit in addition to their normal wages.

Q7.

1. **Internal methods (promotion and transfer):** Filled from among the existing employees by promoting them to higher posts or transferring them to other departments.
2. **Campus recruitment:** Companies visit colleges and universities to select fresh graduates directly from the campus.
3. **Advertisement:** The company advertises its vacancies in newspapers, magazines, television, radio and on the internet.
4. **Employment exchanges and placement agencies:** Government employment exchanges keep a list of registered job seekers and send their names to the employers.
5. **E-recruitment:** In this modern method companies post their jobs on websites and receive the applications online.

Q8.

Basis	Job Description	Job Specification
Meaning	A written statement of the duties, tasks and responsibilities of a job	A written statement of the qualities and qualifications a person needs for a job
Focus	Focuses on the JOB — what work is to be done	Focuses on the PERSON — who can do the work
Contents	Job title, duties, working conditions, tools and equipment used	Education, skills, experience, and the mental and physical qualities needed
Question answered	What does the job involve?	What kind of person is needed for the job?
Example	Accountant: maintain accounts, prepare reports, handle the audit	Accountant: B.Com graduate, knows Tally, with 2 years' experience

Q9.

1. **Structured (patterned) interview:** In this type the questions are planned and fixed in advance, and the same questions are asked to all candidates.
2. **Unstructured (informal) interview:** No fixed questions, and the talk goes on freely like a normal conversation.
3. **Panel interview:** In this type a group of two or more interviewers together question a single candidate.
4. **Stress interview:** In this type the candidate is purposely put under pressure through tough, rapid or tricky questions.
5. **Depth interview:** In this type the interviewer studies a few important areas of the candidate in detail, such as his career, interests and background.

Q10.

1. **Better quality of work:** Training teaches employees the correct methods and skills to do their jobs.
2. **Higher productivity:** More confident and skilled, so he completes his work faster and more correctly.
3. **Fewer accidents (safety):** Training teaches employees how to handle machines, tools and materials in a safe way.
4. **Less supervision and wastage:** Trained employees know their work well, so they need less checking and guidance from their managers.
5. **Employee growth and confidence:** Training prepares employees for higher and more responsible jobs in the future.

Q11.

1. **To measure performance:** The main objective of performance appraisal is to find out how well each employee is doing his job.
2. **To help in promotions and transfers:** Appraisal results clearly show which employees are doing well and which are not.
3. **To decide pay and rewards:** Performance appraisal helps the company to reward its good performers fairly.
4. **To find training needs:** Appraisal points out the weak areas and shortcomings of the employees.
5. **To give feedback and motivate:** Appraisal lets the employees know their strengths and weaknesses through proper feedback.

Q12.

1. **HR technology and analytics:** Today organisations use computers, software and HR information systems to manage employee records and to take HR decisions.

2. **Work from home and hybrid work:** After the COVID-19 period, many companies now allow employees to work from home or to follow a mix of office and home work.
3. **Employee engagement and well-being:** Modern HRM gives great importance to keeping employees emotionally connected and happy with their work.
4. **Diversity and inclusion:** Organisations today try to employ people of different genders, regions, religions and backgrounds.
5. **Strategic HR and outsourcing:** No longer just a routine department; it now takes part in important business planning as a strategic partner.

Q13.

Basis	HRM	Personnel Management
Nature	Modern and proactive approach to managing people	Traditional and reactive approach to managing labour
View of employee	Treats employees as valuable assets and resources	Treats employees as tools or a cost of production
Focus	Focuses on overall development and strategy	Focuses on routine administration and welfare
Aim	Links people with business goals and long-term growth	Fulfils immediate staffing and legal duties
Approach to people	Sees people as a source of competitive advantage	Sees people as inputs for getting work done

Q14.

1. **Size of the organisation:** A large organisation has more vacancies and recruits more often and from wider sources.
2. **Recruitment policy:** The company's policy about hiring from inside or outside affects recruitment.
3. **Image or goodwill of the company:** A company with a good reputation attracts more and better candidates easily.
4. **Labour market conditions:** Easily available, recruitment is quick and cheap.
5. **Government rules and legal factors:** Laws on reservation, minimum wages and equal opportunity affect whom and how a company can recruit.

Q15.

1. **Determines future manpower needs:** HRP helps the organisation find out how many and what kind of employees will be needed in future.
2. **Helps face change:** HRP prepares the organisation for changes in technology, the economy and the market.
3. **Finds surplus or shortage:** HRP shows whether the company has too many or too few employees.
4. **Helps in training and development:** HRP identifies the skills employees will need in future.
5. **Controls labour cost and boosts morale:** Proper planning avoids overstaffing and wastage of money.

Q16.

1. **E-learning and online training:** Companies now train employees through online courses, videos and apps.
2. **Use of technology (VR, AR, AI):** Modern training uses virtual reality, simulations and artificial intelligence.
3. **Microlearning:** Now given in short, small lessons instead of long sessions.
4. **Continuous and self-directed learning:** A focus on lifelong learning, where employees keep upgrading their skills.
5. **Personalised and skill-based training:** Now tailored to each employee's needs and career goals.

Q17.

1. **Financial (monetary) incentives:** Rewards given in money form, such as bonus, commission and profit-sharing.
2. **Non-financial (non-monetary) incentives:** Rewards not in money form, such as recognition, praise, promotion and better titles.
3. **Individual incentives:** Given to a single employee for his own performance, such as a piece-rate bonus.
4. **Group incentives:** Given to a team for their combined performance.
5. **Organisation-wide incentives:** Given to all employees based on the company's success, such as profit-sharing and stock options.

Q18.

1. **Meaning of grievance:** A feeling of unfairness about pay, work, treatment or conditions.
2. **Identifying the grievance:** To find out and clearly understand the employee's complaint.
3. **Step-by-step procedure:** Most companies follow a grievance procedure that moves from the immediate boss to higher levels.
4. **Investigation and fair decision:** Investigated by checking the facts and rules.
5. **Redressal and follow-up:** Put into action to remove the cause of the grievance.

10 MARKS

Q1.

Managerial functions

1. **Planning:** Deciding in advance the HR goals and the steps needed to achieve them.
2. **Organising:** Arranging the work and the people in a proper order.
3. **Directing:** Guiding, leading and supervising employees so that they work willingly towards the goals of the organisation.
4. **Motivating:** Creating the right conditions and incentives so that employees work willingly and give their best effort.
5. **Controlling:** Checking whether the actual work is being done as per the plans.

Operative functions

6. **Procurement:** Obtaining the right number and the right kind of people for the organisation.
7. **Development:** Improving the skills, knowledge and abilities of the employees.
8. **Compensation:** Giving employees fair and reasonable pay for the work they do.
9. **Integration:** Bringing the interests of the employees and the interests of the organisation close to each other.
10. **Maintenance:** Keeping the employees satisfied and willing to continue in the organisation.

Q2.

Internal sources

1. **Promotion:** Moving a present employee to a higher post that carries greater pay, status and responsibility.
2. **Transfer:** Shifting an employee from one job, department or place to another job of the same level.
3. **Employee referrals:** The present employees recommend their friends or relatives for the vacant jobs.
4. **Former employees:** Sometimes the organisation calls back its retired or retrenched employees for temporary or part-time work.

External sources

5. **Campus recruitment:** The company visits colleges, universities and technical institutes to recruit fresh students directly.
6. **Advertisement:** The company gives advertisements about its vacancies in newspapers, magazines, television, radio and on the internet.
7. **Employment exchange:** Government offices where job seekers register their names and qualifications.
8. **Trade unions and professional bodies:** Trade unions and professional associations such as AIMA or ICAI keep records of qualified people and recommend them for jobs.

9. **Placement agencies and consultants:** Private agencies that search for and supply suitable candidates to companies, often for middle and higher level posts.
10. **E-recruitment and walk-ins:** In e-recruitment, jobs are posted on websites like Naukri, Monster or LinkedIn and candidates apply online.

Q3.

Traditional methods

1. **Ranking method:** Arranged in order from the best performer to the worst performer.
2. **Paired comparison:** Compared, one by one, with every other employee in the group.
3. **Grading system:** Certain grades such as A (excellent), B (good), C (average) and D (poor) are fixed in advance.
4. **Graphic rating scale:** Rated on various qualities like quality of work, attendance, attitude and cooperation.
5. **Forced distribution method:** Forced to place employees into fixed groups according to a set percentage, for example 10% as excellent, 80% as average and 10% as poor.
6. **Checklist method:** A list of statements about employee behaviour is prepared in advance.
7. **Critical incident method:** The rater notes down the specific good and bad incidents in the employee's behaviour during the period.

Modern methods

8. **Management by Objectives (MBO):** The employee and his manager together set clear and measurable goals at the start of the period.
9. **360-degree appraisal:** Collected from all the people around him — his boss, his peers, his subordinates and even the customers.
10. **Assessment centre and BARS:** In an assessment centre, employees are observed through exercises like group discussions, role plays and case studies to judge their abilities.

Q4.

1. **Gets the right people:** HRM helps the organisation to find, select and place the right number of skilled employees in the right jobs.
2. **Develops employees:** Through training and development programmes, HRM improves the skills, knowledge and abilities of the employees.
3. **Improves performance:** Well selected, trained and guided, their individual performance improves greatly.
4. **Motivates and retains staff:** HRM keeps employees satisfied through fair pay, rewards, recognition and good working conditions.
5. **Builds good relations:** HRM maintains friendly and healthy relations between the workers and the management.
6. **Plans future manpower:** HRM forecasts the future need for employees and plans recruitment and training accordingly.
7. **Ensures fair pay:** HRM designs proper wage and salary systems so that employees are paid fairly for the work they do.
8. **Helps achieve goals:** By making the best use of human resources, HRM helps the organisation to reach its objectives.
9. **Adapts to change:** HRM prepares the workforce to accept and adjust to new technology and changing business conditions.
10. **Ensures welfare and safety:** HRM provides health, safety and welfare facilities for the employees.

Q5.

1. **Analysing organisational objectives:** To study the goals and plans of the organisation, because the need for manpower depends directly on them.
2. **Forecasting demand for HR:** In this step the company estimates how many employees and what kinds of skills it will need in the future.
3. **Forecasting supply of HR:** The company looks at the employees it already has, along with their numbers, skills and abilities.
4. **Estimating the manpower gap:** The company compares the future demand for employees with the available supply of employees.
5. **Action plan for shortage:** A shortage of employees, the company plans how to fill the gap.
6. **Action plan for surplus:** Extra employees, the company plans how to handle the surplus carefully.
7. **Training and development:** The company arranges training programmes to give employees the skills needed for present and future jobs.
8. **Maintaining demand-supply balance:** HRP tries to keep a proper balance between the number of employees needed and the number actually available.
9. **Career and succession planning:** The company plans the career growth of its employees and prepares some of them for higher posts.
10. **Monitoring and review:** To check from time to time whether the HR plan is working as expected.

Q6.

On-the-job methods (learning while doing the actual job)

1. **Job rotation:** Shifted through different jobs or departments one after another.
2. **Coaching:** A senior or experienced person teaches and guides the employee personally while working on the job.
3. **Apprenticeship:** A learner works under a skilled worker for a long period to learn a technical trade.
4. **Internship:** Given practical work experience in a company for a fixed period.
5. **Job instruction training:** The trainer explains and demonstrates the job step by step, and then lets the employee try it himself.

Off-the-job methods (learning away from the actual job)

6. **Lectures and classroom training:** A trainer teaches a group of employees through talks, slides and notes in a classroom.
7. **Case study method:** Given a real or imaginary business problem to study and solve.
8. **Role play:** Trainees act out the roles of different people in a work situation.
9. **Vestibule training:** Trained on duplicate machines and equipment in a separate room, away from the actual workplace.
10. **Conferences and seminars:** Employees take part in group discussions where ideas and experiences are shared.

Q7.

1. **Globalisation:** Companies now work across many countries with different cultures and laws.
2. **Workforce diversity:** The workforce now has people of different genders, ages, regions and backgrounds.
3. **Technological change:** New technology like automation and AI keeps changing how work is done.
4. **Retention and attrition:** Skilled employees often leave for better offers, especially in IT and startups.
5. **Work-life balance:** Employees now expect flexible hours and time for family.
6. **Changing employee expectations:** Younger employees want growth, meaning and quick recognition at work.
7. **Managing remote and hybrid work:** After COVID-19, many employees work from home or in hybrid mode.
8. **Health, safety and well-being:** HR must look after the physical and mental health of employees.

9. **Legal and ethical compliance:** HR must follow many labour laws and ethical standards.
10. **Cost control with quality:** HR must reduce manpower costs while keeping skilled employees.

Q8.

1. **Use of HR software (HRIS):** Companies use software to forecast and plan their manpower needs.
2. **Data analytics and forecasting:** HRP now uses analytics to predict future manpower needs.
3. **Strategic workforce planning:** Now linked closely to the company's business strategy.
4. **Planning for a flexible workforce:** Companies now plan for freelancers, part-time and gig workers along with regular staff.
5. **Succession planning:** Companies plan in advance who will fill key posts in future.
6. **Skill-based planning:** HRP now focuses on the specific skills needed in future, not just numbers.
7. **Planning for remote and hybrid work:** HRP now includes planning for employees who work remotely.
8. **Diversity planning:** Companies plan to build a diverse and inclusive workforce.
9. **Use of artificial intelligence:** AI helps predict attrition and future needs.
10. **Continuous and flexible planning:** Now done continuously and updated often, not once a year.

Q9.

1. **Meaning of training evaluation:** Process of measuring how effective a training programme was.
2. **Setting evaluation standards:** Before training, clear goals and standards are fixed.
3. **Reaction level:** This checks how the trainees felt about the training.
4. **Learning level:** This checks how much knowledge and skill the trainees actually gained.
5. **Behaviour level:** This checks whether trainees apply the new skills in their actual jobs.
6. **Results level:** This checks the final effect of training on the organisation.
7. **Feedback from trainees and trainers:** Collected from both trainees and trainers.
8. **Comparing performance before and after:** The employee's performance before training is compared with that after.
9. **Cost-benefit analysis:** Compared with the benefits gained.
10. **Using results to improve training:** Used to correct weak points.

Q10.

1. **Continuous feedback:** Instead of one yearly appraisal, managers now give regular ongoing feedback.
2. **360-degree appraisal:** Now collected from bosses, peers, subordinates and customers.
3. **Use of technology and software:** Now done through online systems and apps.
4. **Data analytics in appraisal:** Companies use data to measure and predict employee performance.
5. **Focus on development:** Modern appraisal aims to develop the employee, not only to judge him.
6. **Pay for performance:** Now closely linked to performance.
7. **Flexible and customised pay:** Companies offer flexible pay packages that suit different employees.
8. **Total rewards approach:** Compensation now includes pay, benefits, recognition and growth together.
9. **Transparency in pay:** Becoming more open about how pay is decided.
10. **Non-monetary rewards:** Recognition, flexible work and well-being benefits are given along with pay.

Q11.

Causes of industrial disputes

1. **Economic causes (wages and bonus):** Most disputes arise over demands for higher wages, allowances and bonus.
2. **Poor working conditions:** Long hours, unsafe machines and lack of facilities upset workers.
3. **Unfair management practices:** Wrong dismissals, unfair transfers and harsh discipline cause anger.
4. **Union and political factors:** Rivalry between unions and outside political influence create unrest.
5. **Lack of communication:** When management does not listen to or inform workers, misunderstandings grow.

Methods of settlement

6. **Collective bargaining:** The workers' union and management talk directly to reach an agreement.
7. **Conciliation:** A neutral conciliator helps both sides discuss and settle the dispute.
8. **Mediation:** A mediator studies the dispute and gives his own suggestions.
9. **Arbitration:** Given to a neutral arbitrator chosen by both sides.
10. **Adjudication:** Settled by a labour court or tribunal.

Q12.

1. **Pay for performance:** Now linked to how well an employee performs.
2. **Flexible benefit plans:** Employees can choose the benefits that suit them best.
3. **Total rewards approach:** Compensation now includes pay, benefits, recognition and growth together.
4. **Stock options and profit-sharing:** Given a share in the company's profit or stock.
5. **Health and wellness benefits:** Companies offer medical insurance, counselling and wellness programmes.
6. **Work-life balance facilities:** Flexible hours, work-from-home and paid leave are now common.
7. **Use of technology in payroll:** Salaries, benefits and records are managed through software.
8. **Focus on employee well-being:** Maintenance now covers mental health and well-being, not just physical safety.
9. **Transparency and fairness in pay:** Companies follow clear and fair pay structures.
10. **Non-monetary recognition:** Appreciation, awards and a good work environment are used along with pay.

Q13.

1. **Focus on employee engagement:** Companies now work hard to keep employees emotionally involved and committed.
2. **Employee well-being programmes:** Firms provide health, fitness and mental-wellness support.
3. **Better communication channels:** Open, two-way communication is encouraged between staff and management.
4. **Use of technology and HR portals:** Grievances, leave and queries are handled through online systems.
5. **Participative management:** Now involved in decisions that affect them.
6. **Support for remote and flexible work:** Companies keep good relations even with remote workers.
7. **Quick grievance redressal:** Modern systems solve employee complaints quickly and fairly.
8. **Diversity and inclusion:** Companies build a fair workplace for people of all backgrounds.
9. **Recognition and reward culture:** Regularly appreciated and rewarded.
10. **Healthy industrial relations:** Companies aim for cooperation rather than conflict with unions.